Drivers of Return on Equity in Nordic Banks

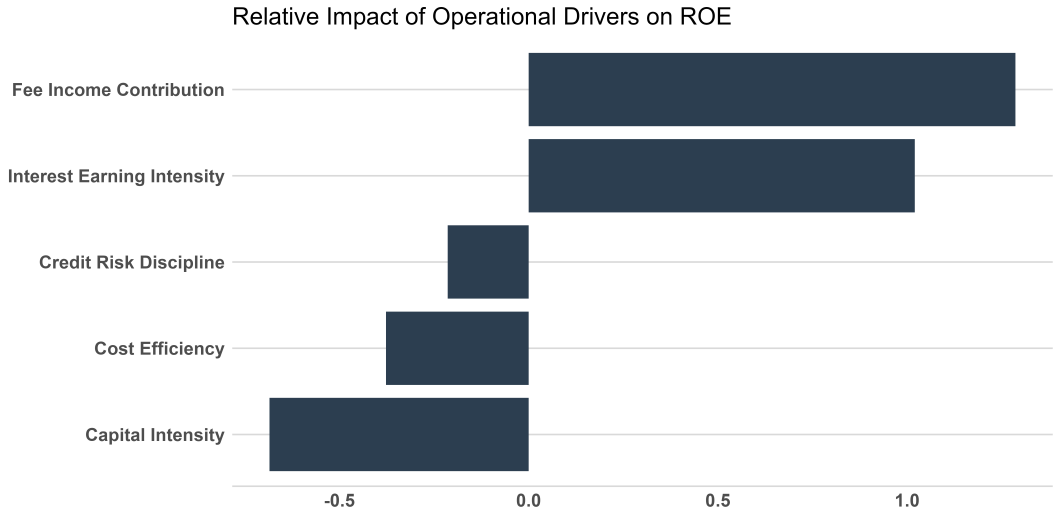
Executive Summary

This report evaluates which operational levers most strongly influence return on equity (ROE) among major Nordic banks. Using public annual data from SEB, Nordea, and Handelsbanken from 2014–2025, ROE is decomposed into its core drivers—interest income intensity, fee income intensity, cost intensity, credit losses, and capital intensity—and analyzed using a linear model.

The results indicate that revenue generation is the dominant driver of ROE differences across banks. In particular, net fee income relative to assets emerges as the strongest lever, followed by net interest income intensity. By comparison, cost intensity, credit losses, and capital structure affect ROE in the expected direction but play a smaller effective role in explaining differences in performance.

From a management perspective, the results suggest that the most effective path to higher ROE lies in expanding revenue-generating capacity rather than relying primarily on cost reductions or leverage adjustments. In particular, fee-generating activities represent a structurally attractive lever, as they contribute to profitability without requiring proportional balance-sheet expansion and therefore operate efficiently within regulatory capital constraints.

Overall, the analysis indicates that Nordic banks seeking to strengthen ROE competitiveness should prioritize the development and scaling of fee-based business lines alongside traditional interest-generating activities, while maintaining capital intensity, cost discipline and credit risk management as supporting—but not primary—drivers of profitability.



1 Methodology

We construct a panel dataset of three Nordic banks from public annual reporting over 2014–2025, and estimate a regression model explaining ROE using operational drivers derived from the accounting identity of bank profitability.

1.1 Driver Decomposition

$$\text{ROE} = \frac{\text{Net Income}}{\text{Equity}}.$$

This can be decomposed as

$$\text{ROE} = \frac{\text{Net Income}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}},$$

where $\frac{\text{Net Income}}{\text{Assets}}$ is ROA. The structural breakdown of ROA is essentially:

$$\text{ROA} = \frac{\text{Net Interest Income} + \text{Net Fee Income} - \text{Operating Expenses} - \text{Credit Losses} - \text{Taxes}}{\text{Assets}}.$$

We do not consider taxes as a part of the core controllable levers a bank can reliably pull, thus we exclude it to arrive at the strategic decomposition of drivers:

$$\text{ROE} = \left(\underbrace{\frac{\text{Net Interest Income}}{\text{Assets}}}_{\text{Interest Earning Intensity}} + \underbrace{\frac{\text{Net Fee Income}}{\text{Assets}}}_{\text{Fee Contribution}} - \underbrace{\frac{\text{Operating Expenses}}{\text{Assets}}}_{\text{Cost Efficiency}} - \underbrace{\frac{\text{Credit Losses}}{\text{Assets}}}_{\text{Credit Risk Discipline}} \right) \div \underbrace{\frac{\text{Equity}}{\text{Assets}}}_{\text{Capital Intensity}}.$$

1.2 Data

We collect annual reporting from 2014 to 2025 of three banks, SEB, Nordea, and Handelsbanken, and record data for

- Net profit (attributable to shareholders)
- Net interest income
- Net fee income
- Operating expenses
- Total assets (average)
- Equity (average)
- Net (expected) credit losses

and derive the ratios directly from those underlying accounting figures in order to reserve control over the calculations. This ensures consistency across banks and avoids potential incompatibilities in how headline ratios are reported. The credit loss data identify as the *incurred* Net credit losses under IAS 39 up to 2017, and as the forward-looking Net expected credit losses that came into effect by IFRS 9 from 2018 onward, which occupy the same function in the income statement.

We then let the variables be coded as:

$$
\begin{aligned}
NII &:= \frac{\text{Net Interest Income}}{\text{Assets}}, \\
NFI &:= \frac{\text{Net Fee Income}}{\text{Assets}}, \\
OPX &:= \frac{\text{Operating Expenses}}{\text{Assets}}, \\
ECL &:= \frac{\text{Credit Losses}}{\text{Assets}}, \\
ETA &:= \frac{\text{Equity}}{\text{Assets}}.
\end{aligned}
$$

1.3 Model Specification

In our preliminary analysis we tested whether persistent bank-specific differences in profitability are present by including bank indicator variables. This found that bank effects are not statistically significant, suggesting that differences in ROE across the sample are primarily explained by variation in operational drivers rather than by structural differences between banks. We therefore estimate a pooled model of the form

$$ROE = \beta_0 + \beta_1 NII + \beta_2 NFI + \beta_3 OPX + \beta_4 ECL + \beta_5 ETA + \epsilon,$$

where ϵ captures variation that is not explained by the operational drivers.

2 Results & Analysis

Table 1 shows a summary of the regression model. The results show that all five drivers are statistically significant and jointly explain approximately 83% of the variation in ROE in the sample. Net fee income relative to assets emerges as the strongest differentiator of profitability, followed by net interest income intensity. Cost intensity and credit losses have the expected negative relationship with ROE, while a higher equity-to-assets ratio reduces ROE through the mechanical effect of lower leverage.

Table 1: Summary of the regression model.

	Coefficients
Constant	15.700***
NII	13.223***
NFI	22.406***
OPX	−11.280***
ECL	−12.334**
ETA	−3.421***
Observations	36
R^2	0.829
Adjusted R^2	0.801
Residual Std. Error	1.124 (df = 30)
F Statistic	29.168*** (df = 5; 30)
Note:	*p<0.1; **p<0.05; ***p<0.01

The standardized coefficients in Table 2 provide additional insight into the relative importance of each driver. While the raw coefficients measure the mechanical sensitivity of ROE to a one-percentage-point change in each ratio, the standardized estimates account for the typical variation of each variable in the sample. The results indicate that the revenue drivers are together the most important explanatory factors of ROE, and are closer in importance to each other when their movability is taken into account. In contrast, cost intensity, credit losses, and capital intensity play smaller comparable roles in explaining differences in ROE across the sample. This suggests that variation in revenue generation, with particular emphasis on the scale of fee-generating activities, is the primary differentiator of ROE among Nordic banks in the recent financial environment.

Table 2: Relative Importance of ROE Drivers.

Driver	Standardized Coefficients	Rank
NFI	1.29	1
NII	1.02	2
ETA	-0.68	3
OPX	-0.38	4
ECL	-0.21	5

The residual diagnostic plots in Figure 1 and the formal tests in Table 3 paints a coherent picture of the model performing quite well given the limited sample size. The residuals show mild departures from normality, primarily driven by a small number of outlying observations, but there is no clear pattern suggesting functional misspecification or heteroskedasticity. Variance inflation factors remain low, suggesting that multicollinearity among the drivers is limited. There are a few extreme but real events that were observed in the data period, which in this case informs rather than obscured our inference of contemporary financial behavior. Overall the diagnostic profile supports the validity of the specification.

Table 3: Regression Diagnostic Tests.

Test	p-value
Shapiro–Wilk	0.044**
Breusch–Pagan	0.153
Durbin–Watson	0.520
Ramsey RESET	0.526
Max VIF	4.048
Note:	*p<0.1; **p<0.05; ***p<0.01

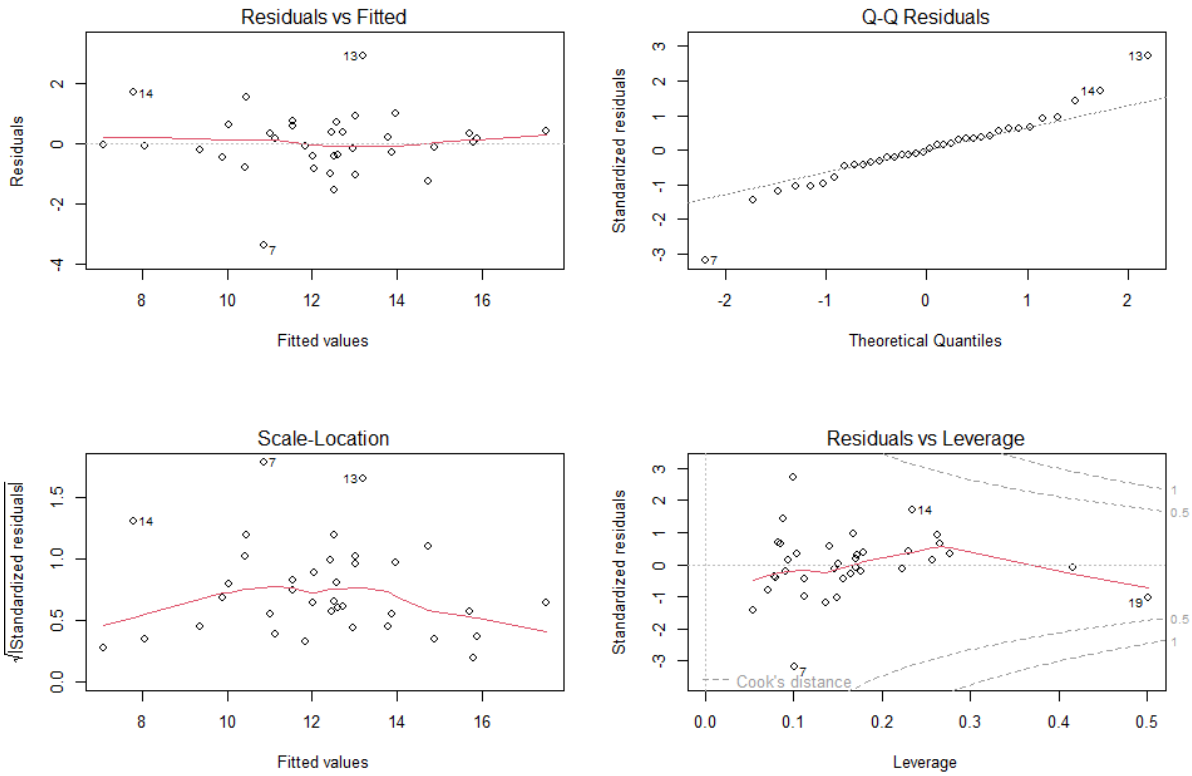


Figure 1: Residual diagnostic plots.

3 Conclusion

The empirical results indicate that variation in ROE across the sample is primarily driven by revenue generation rather than by cost differences, credit risk discipline, or leverage alone. In particular, fee income relative to assets emerges as the strongest differentiator of profitability, followed by net interest income. While cost efficiency, credit losses, and capital structure all affect ROE in the expected direction, they explain comparatively less of the variation observed across banks and time.

From a strategic perspective, the findings suggest that revenue structure plays a central role in sustaining strong bank profitability. Fee-generating activities appear particularly valuable because they contribute to earnings without requiring proportional balance-sheet expansion. This allows banks to improve returns while operating within the capital constraints imposed by modern banking regulation.

Overall, the results highlight that differences in Nordic bank profitability are less a consequence of cost discipline or leverage and more a function of the composition of revenue streams. Banks seeking to strengthen ROE competitiveness may therefore benefit most from expanding stable, fee-based sources of income alongside their traditional interest-generating activities.